

SOCIETY

The numbers are not flattering. Poverty rates are still lingering at 26 per cent, 31 crore Indians are living below the poverty line, and life expectancy stands at 63 years on an average. But despite these dismal figures, the brighter hope is the Indians who have taken the responsibility themselves. Of making a difference, of changing attitudes, and of transcending platitudes. As Renana Jhabvala of SEWA says, "It is up to us to realise that we owe something to society, and the way of giving back is by making oneself of some use to those who are not as privileged." So from Harsha Moily, who left a cushy job to set up a microfinance firm for the poor, to Dr Sunil Kaul, who trains people in Chirang district in Assam in curing malarial patients; from Pramod Kulkarni, who unites railway runaways with their families, to actor Chiranjeevi, who has enthused thousands to donate blood, there is a new nation emerging, steeped in a new philosophy.

■ By Nandini Vaish

In 2002, P. Mukundan, a Chennai-based sexagenarian, developed an ingeniously simple stove burner that cuts kerosene costs by 27 per cent. Mukundan had the product but lacked the money needed to take it to his target audience—the lakhs of Indians who cannot afford LPG. Enter Vineet Rai, financier and CEO

of Aavishkaar India Micro Venture Capital Fund, a social venture-capital (vc) firm. He was so impressed by the burner that, not only did he infuse capital (Rs 10 lakh) into Servals Automation, Mukundan's company, but with the inventor's help, Rai worked on devising a strategy that would take the product into the Indian hinterland as well as markets abroad. "We saw the burner as something that could help the lives of the poor," says Rai. "Calculations showed that it had a payback period of 30-45 days through its kerosene savings of Rs 100-200 per month, which could be a day's income for many villagers."

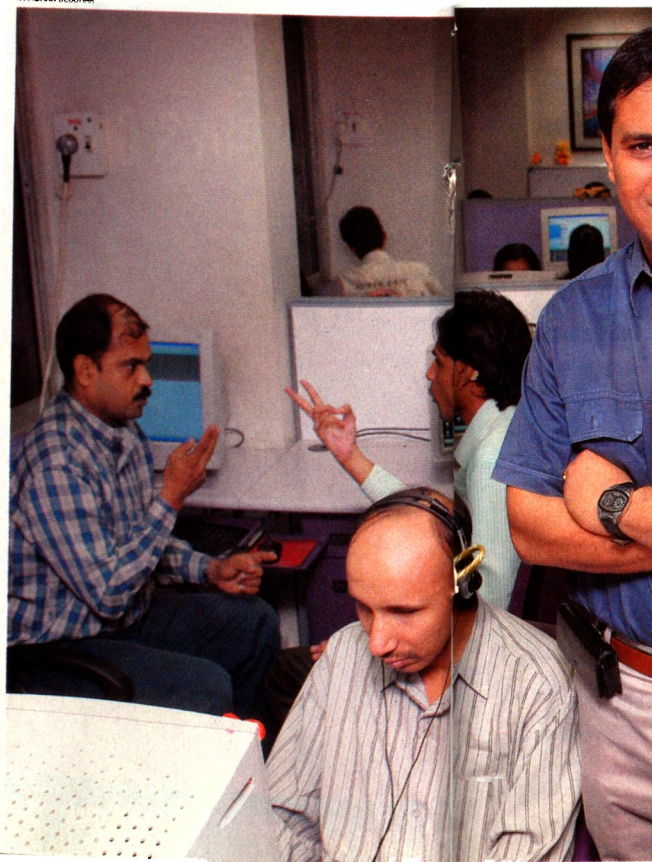
Moving forward, however, wasn't going to be easy. The burner cost Rs 30 more than the average burner in the market. Considered too expensive by many, the product did not sell for a year. "Often, we wondered if we had rushed into that investment," says Rai. However, both Mukundan and Rai went back to the drawing board and, through value engineering and material substitution, brought the price of the stove down. The grit and determination paid off. Today, Servals sells 70,000 burners and 5,000 stoves a month while virtually supporting a village's economy. It also recorded revenues of Rs 1.3 crore last year.

Aavishkaar supports enterprise and innovation in rural areas with the methods and strategies of any other vc firm. Much of its philosophy is drawn from bottom-of-the-pyramid theory, so the idea is to create sustainable ventures that spur economic activity and create jobs for rural India, with the consequent purchasing power leading to greater demand for goods and services. Instead of IT companies, Aavishkaar looks out for people who can create a difference while turning in decent profits. "We want to

build a sustainable model to bring about social change," says Rai.

The firm's investments, though, shouldn't be mistaken for charity. Like any other vc firm, Aavishkaar invests in companies expecting a return. In 2005, it invested Rs 18 lakh in Net Systems, which provides organisations with software and technology solutions for persons with disabilities. The company has created books, greeting cards and menus in Braille as well as tactile diagrams. It has also bought an undisclosed stake in Vaatsalaya Healthcare Solutions,

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✱ AAVISHKAR

Project Aavishkaar equity fund helps the poor help themselves. Can-do icon Mahajan, founder of BASIX. He has been at the forefront of entrepreneurship for

\$14.36 billion was the total investment from private equity and venture firms in India